



Managing Budgets and Cash Flow

Your start-up may have healthy sales, but without a regular inflow of cash, you will not have enough money to pay your bills. It is therefore vital to keep an eye on cash and to budget wisely to make sure you do not run out of funds.

Managing budgets

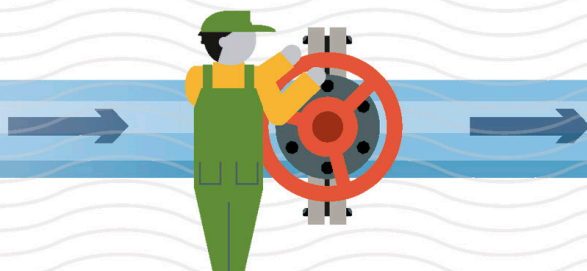
Cash is the lifeblood of your business. From the outset, make sure that you have a reliable system for tracking the money coming in and going out (see pp.88–89 and pp.158–159). These figures give you the basis for estimating how much cash you will need at any one time to meet your expenses. Regularly comparing the actual money flowing in and out to the figures you estimated in your business plan budget will highlight any discrepancies. You can then adjust your budget

and, if necessary, your spending. Keeping your fixed costs (such as rent) as low as possible at the start enables you to allocate most of your money and any profits to steady cash flow, and grow your business.

Although some start-ups have access to cash reserves that enable them to run with a planned loss, most cannot. It is wise to keep a solid cash reserve aside to cover a potential unplanned loss that might otherwise be unsustainable. Running out of funds is one of the main reasons new businesses fail.

How to improve cash flow

However good you are at generating new sales, maintaining cash flow should be your priority, since it enables you to pay your rent and wage bill at the end of each month. Ensuring that money flows into your business promptly and goes out only as necessary will determine the survival of your start-up. There are several ways of doing this, including invoicing immediately and chasing late payments. At times, it may help to sell goods at a discount, to run special offers, or to find ways to spread your business or supply costs. An accurate monthly cash flow statement, reporting the actual inflow and outflow of money, enables you to monitor the situation and decide which steps to take.



KEEP CASH FLOWING IN

Depending on the nature of your business, one or more of these steps may help maintain your cash flow.

- **Invoice immediately**, as soon as work is complete, to avoid unnecessary payment delays, or ask customers to pay a deposit or the full price upfront.
- **Chase late payments**, setting up a process to ensure that no payments are missed. Consider offering future discounts for early payments.
- **Generate cash** by selling items of otherwise slow-selling stock at a large discount.
- **Increase sales** by lowering prices or running special offers to encourage purchasers.

